

Chapter 6 Risk Management

Let's Start

1

(a) Using glass sheets with UV-filtering properties when framing paintings	Risk reduction
(b) Putting up barriers around her artworks	Risk reduction
(c) Taking out insurance for her collection	Risk transfer

2 Other risks that Janet's gallery faces and how she can manage each of them:

- Fire: Janet may install an automatic sprinkler system to reduce the damage caused by fire.
- Thefts: Janet may hire security guards to deter thieves.
- Visitors being injured by a collapsed ceiling at the gallery: Janet may take out public liability insurance.

Any two

(Any other reasonable answers)

Check Your Progress

P6-1 (a) Pure risk

(b) Speculative risk

(c) Pure risk

(d) Speculative risk

P6-2 (a) T

(b) F Risk of loss arising from a war is non-insurable because war will result in a large number of casualties and widespread damage.

(c) T

(d) F Speculative risks are normally not covered by insurance companies. However, some specialist insurance companies would provide insurance protection against speculative risks.

P6-3 (a) Personal injury or loss and legal liability

(b) Personal injury or loss and loss of profits

(c) Loss of property and loss of profits

(d) Legal liability

P6-4 (a) Risk transfer

(b) Risk reduction

(c) Risk avoidance

(d) Risk assumption

- P6-5** (a) T
(b) F Loss reduction measures cannot prevent an undesirable event.
(c) T
(d) F Under an arrangement of risk transfer, the loss incurred will be fully or partially borne by another party.

- P6-6** (a) Fidelity guarantee insurance
(b) Employees' compensation insurance
(c) Public liability insurance

Let's Try

- T6-1** Risk with low loss frequency and severity: Shopping carts being stolen.
Risk with high loss frequency and severity: Miners suffering from pneumoconiosis.
(Any other reasonable answers)

- T6-2** Free answer

- T6-3** Free answer

- T6-4** Other types of insurance that students may have found include:
- Business travel insurance
 - Engineering insurance
- (Any other reasonable answers)

Case Study Risk control at gold and jewellery store

- 1** Risk management strategies that Mr Tam's shop uses include:
- Risk reduction: Mr Tam's shop has installed stainless steel fences, CCTVs, and explosion-proof glasses for jewellery showcases. These can help prevent losses from happening.
 - Risk transfer: Mr Tam has purchased insurance for his shop. This can help transfer the risk of robbery to the insurance company.
- 2** This is a risk reduction strategy. If the store does not allow customers to handle too many pieces of jewellery at a time.

Answers to Assessment

Short Questions

- 6.1** A Green Minibus operator may face the following types of pure risk:
- Personal risk: The possibility of injuries to its drivers because of a car accident at work. 2 marks
 - Property risk: The possibility of its minibuses being damaged in a traffic accident. 2 marks
 - Liability risk: The possibility that it is legally liable to compensate passengers injured in a car crash caused by the negligence of its drivers. 2 marks
- (Any other reasonable examples)
- 6.2** Insurable risks for a boutique include:
- Fire
 - Burglary
 - Employee theft Any two
 - Injuries to salespeople sustained at work 1 mark each
- (Any other reasonable answers)
- Non-insurable risks for a boutique include:
- The risk of a decrease in sales due to increased competition 1 mark
 - Damage to clothes hangers 1 mark
- (Any other reasonable answers)
- 6.3** The owner of an ice rink should take out the following liability insurance:
- Public liability insurance: This can provide protection against the ice rink's liabilities for compensation if its business operation injures third parties (e.g., customers and visitors) or causes damage to their property. 2 marks
 - Employees' compensation insurance: This can provide protection against medical expenses and financial compensation for the injury or death of the ice rink's staff members at work. 2 marks
- 6.4** (a) Pure risk 1 mark
- This is because the risk only involves the possibility of loss or no loss. 1 mark
- (b) Non-insurable risk 1 mark
- This is because earthquakes will result in a large number of casualties and widespread damage. 1 mark
- 6.5** Reasons:
- The risk is a speculative risk. Since there are possibilities of both loss and gain from operations, the firm will be guaranteed to gain from speculation if insurance companies insure against this risk. 2 marks
 - The probability of occurrence of operating losses cannot be estimated, and thus insurance companies cannot predict the number of claims and calculate the premium. 2 marks
 - Operating loss is not accidental and is controllable. 2 marks

- 6.6** Risk management strategies that a fast-food restaurant can use include:
- Risk avoidance: The fast-food restaurant may take food items containing beef off its menu. 2 marks
 - Risk assumption: The fast-food restaurant may set aside an amount of money to cover potential losses, e.g., compensation paid to customers who caught the disease after eating at the restaurant. 2 marks
 - Risk reduction: The fast-food restaurant may source beef from regions certified free of the disease. 2 marks
- (Any other reasonable examples)
- 6.7** (a) Since the restaurant can only avoid this risk by not engaging in its major operating activities, it is impractical for it to avoid this risk. 2 marks
- (b) The restaurant can control this risk in the following ways:
- Remove grease built up on stovetops and in ovens frequently to reduce the risk of fire. 2 marks
 - Provide training on fire safety for staff. 2 marks
- (Any other reasonable answers)

Essay Questions

- 6.8** (a) The impact of the risk of aviation accidents on an airline includes:
- Personal injury or loss
For example, the airline crew may die or become injured in an aviation accident.
 - Loss of property
For example, the aircraft may be damaged or destroyed in an aviation accident.
 - Legal liability
For example, if an aviation accident results in injuries or deaths, the airline may have to compensate the victims or their families.
 - Loss of profits
For example, if the aviation accident is severe or is caused by the negligence of the airline, the authority may force the airline to halt operations. This will lead to a loss of profits.
- (1 mark for the impact and 2 marks for example, maximum 10 marks)
- (Any other reasonable examples)
- (b) An airline can train its pilots using simulated equipment. The pilot trainees can learn to fly an airplane with a cockpit simulator which replicates the major features of an airplane cockpit. 2 marks
- The advantage of using simulated training for an airline is that it is a less expensive training alternative as it is too costly or dangerous to train employees on-the-job. 3 marks
- The disadvantages of using simulating training for an airline include:
- The effectiveness of simulated training depends on the design of the simulated work environment. Any one
 - It may be expensive to develop and maintain the simulator. 3 marks

6.9 (a) The manpower planning process that the delivery company will go through:

- **Step 1: Forecasting manpower demand**
The delivery company forecasts its manpower demand based on its organisational goals (i.e., to expand its fleet). This involves forecasting the quantity (number) and quality (types) of employees it needs for the expansion.
- **Step 2: Assessing manpower supply**
The delivery company estimates the size and quality of present and potential manpower available from within and outside the company. For example, it may assess the supply of internal candidates based on its staff turnover rate. If the rate increases, this means the supply of internal candidates will decrease.
- **Step 3: Comparing manpower demand and supply**
The delivery company compares the manpower demand and supply. It may identify a manpower shortage if the manpower demand is greater than the manpower supply.
- **Step 4: Developing action plans and following up**
After identifying a manpower shortage, the delivery company develops an action plan to acquire the needed manpower. For example, it may recruit new employees through temporary hires. It should also make plans for relevant recruitment and selection activities as well as training and development activities.

(2 marks for each step in the correct sequence)

(Any other reasonable examples)

(b) The delivery company can take out the following types of insurance:

- **Motor insurance:** This can protect drivers and third parties against losses from car thefts and car accidents. For example, the delivery company can take out comprehensive insurance. This covers the protection provided by third party (liability) insurance, as well as the loss of or damage to the insured's own vehicle caused by an accident.
- **Fidelity guarantee insurance:** This provides the delivery company with compensation if it loses money as a result of the dishonest acts of its employees.
- **Public liability insurance:** This provides the delivery company with protection against liabilities for compensation if its business operation injures third parties (e.g., visitors visiting its branch) or causes damage to their property.
- **Employees' compensation insurance:** This provides protect against medical expenses and financial compensation for the injury or death of employees at work.

(1 mark for each type of insurance and 2 marks for the explanation/example, maximum 10 marks)

(Any other reasonable answers)

6.10 (a) Conditions that an insurable risk must satisfy include:

- The risk must be non-speculative. This is because if an insurance company insures against speculative risks, which involve both the possibilities of loss and gain, the insured will be guaranteed to gain from speculation. Therefore, speculative risks are normally not covered by insurance companies.
- The loss must be accidental and uncontrollable. This is to prevent people from using insurance as a means to make money, insurance companies only insure losses that are accidental and beyond the control of the insured.

2 marks

2 marks

- The probability of occurrence of the undesirable event can be estimated. By estimating the probability of the occurrence of certain undesirable events, insurance companies can predict the number of claims and calculate the premium needed for the deal to be profitable. 2 marks
- The loss must not be too frequent or too small. If the loss is too frequent or too small, insurance companies' administrative costs may exceed the premium income and they will suffer a loss. Therefore, insurance companies normally only provide cover for losses which exceed a certain amount. 2 marks
- The number of insureds suffering losses at the same time must not be too great. If an undesirable event will lead to a large number of claims at the same time, insurance companies may not be able to afford to pay compensation for all claims. Therefore, insurance companies normally do not insure against events that may lead to a large number of insureds suffering losses at the same time. 2 marks

(b) Purposes of providing medical insurance as an employee benefit:

- Build an image as a good employer: By providing generous benefits to its employees, the firm can build an image as a good employer. This can help attract talent. 2 marks
- Satisfy employees' safety and security as well as social needs: By providing benefits to its employees, the firm can protect their physical and psychological well-being. This can help satisfy the employees' safety and security needs and social needs. As a result, the employees' productivity and satisfaction with the company could be enhanced. 2 marks
- Enhance employees' loyalty: By offering a wide variety of benefits, the firm can demonstrate that it cares for employees and their family members. This can enhance their sense of belonging and loyalty to the company, which can lead to better employee relations. 2 marks
- Supplement monetary rewards: The firm can use benefits to attract and retain talented people who have needs or preferences that cannot be satisfied by monetary rewards. 2 marks

6.11 (a) Advantages of using direct distribution to distribute products in Hong Kong for the video game company:

- Save distribution costs: As intermediaries are not involved, the video game company can save on distribution costs, such as commissions to intermediaries and slotting fees.
- Better control over the marketing of products: The video game company can decide how its products are displayed and promoted. It can also have more control over the quality and price of its products.
- Build customer relationships: By reaching customers directly using its own sales force, the video game company can build close relationships with them. It can also obtain direct feedback from customers and better understand their needs. These allow the company to provide better customer support and cross-sell products to customers.
- Avoid using intermediaries of competitors: The video game company does not need to use channel members which also handle competitors' products. It can thus distinguish its products from competitors'. Any two 2 marks each

Disadvantages of using direct distribution for the multinational video game company:

- **Require expertise and resources:** The video game company may not have the required expertise and resources to set up a sales force and carry out distribution tasks. It would have difficulty using direct distribution.
- **May reach fewer consumers:** Channel members usually have well-developed transportation and distribution networks. The video game company's own sales force may not be able to reach as many consumers as channel members do.
- **Increase internal workload:** The video game company has to perform all distribution functions of channel members such as stock keeping, product display and promotion. This is time consuming and would increase the company's workload.

Any two
2 marks each

(b) Risk management strategies that the multinational video game company can employ:

- **Risk avoidance:** This means eliminating the risk of loss by not engaging in activities which would cause a loss. For example, the video game company may avoid the risk by giving up the plan if it discovers that it is too risky to open retail stores in Hong Kong.
- **Risk assumption:** This means bearing or retaining the risk of loss by setting aside an amount of money to cover potential losses. For example, the video game company retain the risk by reserving a sum of money to cover the operating losses arising from opening retail stores in Hong Kong.
- **Risk reduction:** This means reducing the risk of loss by reducing the loss frequency or loss severity. For example, the video game company may reduce risk by providing more training to its salesforce to better serve consumers in Hong Kong.
- **Risk transfer:** This means transferring the risk of loss to another party by taking out insurance or through contractual agreements. For example, the video game company may transfer part of the risk to another party by setting up a joint venture with a local business.

(1 mark for the strategy and 2 marks for the explanation/example, maximum 10 marks)

(Any other reasonable examples)

Case Analysis

- 6.12** (a) The advantage of differentiated marketing is that it helps increase total sales. By offering different products to different target markets, the company can better meet the needs of consumers. Its total sales will probably increase.

2 marks

- (b) Nutrimeal may use behavioural segmentation to segment the catering market. For example, it may segment the catering market by occasion and target consumers who need catering services for occasions such as corporate parties. It may offer free party set-up services for those consumers.

2 marks

(Any other reasonable answers)

- (c) Disadvantages of external financing:
- Less flexible as it often involves certain procedures.
 - Costlier as it often involves transaction costs.
 - Less freedom in decision making as the firm may have to obtain stockholders' approval or disclose information to investors.
- Any two
2 marks each

- (d) Pure risk 1 mark
This is because it only involves the possibility of loss or no loss. 1 mark

- (e) Nutrimeal may use the following risk management strategies:
- Risk avoidance: Nutrimeal can avoid the risk by not serving cold food at all. 2 marks
 - Risk assumption: Nutrimeal can set aside an amount of money to cover potential losses such as financial compensation paid to affected students. 2 marks
 - Risk reduction: Nutrimeal can provide training to food deliverers on food safety principles. This helps reduce the risk of food being contaminated during delivery. 2 marks
- (Any other reasonable examples)

- 6.13** (a) Characteristics of services which Daniel tried to manage:
- Inseparability 1 mark
This means that the production and consumption of a service occur at the same time and are inseparable. In other words, services cannot be separated from their providers. 1 mark
 - Heterogeneity 1 mark
This means that service quality depends on who provides the service and when, where and how it is provided. 1 mark

- (b) Drive Safe may use the following performance standards to appraise its driving instructors:
- Number of late attendances per month
 - Number of student complaints received per month
 - Students' satisfaction level Any two
 - Students' passing rate for driving test 2 marks each
- (Any other reasonable answers)

- (c) Factors affecting customer loyalty include:
- Communication with customers: Effective communication can help it develop long-term customer relationships and encourage its customers to make more purchases.
 - Handling of customer complaints: If a company can handle the complaints effectively, it can restore customers' confidence and enhance their loyalty. Any one
2 marks

(d) Ryan can take out the following types of insurance for Drive Safe:

- Comprehensive insurance: This can cover the protection provided by third party (liability) insurance, as well as the loss of or damage to Drive Safe's own vehicle caused by an accident.
- Fidelity guarantee insurance: This can provide Drive Safe with compensation if it loses money as a result of the dishonest acts of its employees.
- Public liability insurance: This can provide protection against Drive Safe's liabilities for compensation if its business operation injures third parties (e.g., customers and visitors) or causes damage to their property.

Any two

2 marks each

(Any other reasonable answers)

(e) The risk of changes in oil prices is non-insurable.

1 mark

This is because the risk is speculative, which involves both the possibilities of loss and gain. Speculative risks are normally not covered by insurance companies.

1 mark